

The complaint

Mr M complains that Society of Lloyd's ("SoL") has unfairly declined a claim under his Property Owners insurance policy.

Where I refer to SoL, this includes the actions of its agents and claims handlers for which it takes responsibility.

What happened

Mr M is the leaseholder of the insured property and a beneficiary under the Property Owners insurance policy, underwritten by SoL.

In March 2023, Mr M notified SoL of an escape of water claim as the washing machine in the flat above the insured property had leaked and caused damage. But SoL declined the claim on the basis the insured property had been unoccupied since December 2021, and the policy doesn't have an insured peril for escape of water for unoccupied properties.

Mr M acknowledged that he hadn't had a tenant since that time as he'd put the property up for sale. But he said he'd regularly visited and stayed overnight at the property, and he provided evidence of that. He didn't think SoL's decision to decline his claim was fair, so he raised a complaint about that and about the time it took to make its decision.

SoL said the policy terms clearly defines what it means by unoccupied. And for unoccupied properties, there's no cover for escape of water claims. In addition, it didn't think there'd been any delays or failings in its customer service.

Mr M brought his complaint to our service. And our Investigator upheld it. He said as Mr M has adequately demonstrated that he'd stayed at the property for three months leading up to the date of the loss, he didn't think it was fair to say the property was unoccupied. He recommended that SoL reconsider the claim under the remaining policy terms and pay Mr M compensation of £350.

Mr M accepted this outcome, but SoL didn't. So the complaint was passed to me to decide. And I issued the following provisional decision.

My provisional decision

The relevant policy terms and conditions say:

"Unoccupancy of Buildings

If any building or any portions thereof becomes unoccupied, the insurer shall be liable for damage solely caused by or resulting from fire, lighting, explosion, aircraft or other aerial devices or articles dropped therefrom, unless otherwise agreed in writing by the insurer."

The policy defines "unoccupied" as:

“For the purposes of residential insured premises, means where the whole or part of the property is not lived in by the tenant, or a person authorised by the insured for any period of more than 30 (thirty) consecutive days.”

Mr M has provided us with significant evidence to show that he regularly visited the property and stayed overnight. This is evidenced by copies of his diary logs, the estate agent's logs of their visits, and utility bills showing increased energy usage at certain times. Overall, I'm satisfied Mr M – and others on his behalf – visited and stayed at the property.

But the policy definition of unoccupied is clear that this is where the property is not lived in for more than thirty consecutive days. Mr M accepts that no one lives in the property. And I can't fairly conclude that a visit every thirty days – even where it included an overnight stay – amounts to someone living in the property.

Mr M refers to our website where we say that a property can't be deemed unoccupied if it's regularly visited. I appreciate the point he's made, and I've taken into consideration all he's said, but our website explains we might take that view when the policy wording doesn't provide a clear definition of what unoccupied means.

In this case, I'm satisfied the policy's definition of unoccupied is clear, fair, and not misleading. And as no one was living at the property, I don't think SoL has acted unfairly when concluding that the property was unoccupied.

The policy clearly sets out the insured perils it will cover for unoccupied properties. And escape of water isn't one of them. So I'm satisfied SoL acted in line with the policy terms when it declined Mr M's claim.

In terms of SoL's customer service, I haven't seen anything to suggest that the claim wasn't handled promptly. I understand the claim was declined six weeks after it was submitted to SoL, which I don't consider to be unreasonable based on the timeline of when it was provided with requested evidence from Mr M.

Responses to my provisional decision

Mr M doesn't agree with my provisional decision. I don't intend to set out his response in full, although I've considered everything he's said. I'll list what I consider to be the key points only below:

- The building was always occupied by the other tenants in the other three flats.
- His flat was untenanted, but not unoccupied. He visited regularly and stayed overnight carrying out preventative maintenance and keeping it safe and secure.
- When he wasn't there, another tenant kept an eye on his flat and the estate agents are a two-minute walk away.
- It's difficult to sell a property with a tenant in residence. The period of 30 days is unfair because it takes longer than that to get a property prepared, on the market, for a buyer to be found, and for the sale to go through.
- He meets the criteria of occupied, as stated on our website. It's unfair that SoL get to choose its own interpretation of unoccupied, and it's unclear why we have our own definition if we're not going to apply it to every case.

- The escape of water would've happened regardless of the property's occupancy. And as it happened whilst he was there, he was able to act swiftly preventing further damage and saving SoL a lot of money.
- He's happy to accept a compromise in the form of partial payment of his claim.

SoL didn't respond.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The insurance policy is a contract between SoL and its policyholder. This contract sets out what is and isn't covered; insurance policies aren't designed to cover every eventuality or situation. It's for SoL to decide what risks it's willing to insure and what it isn't willing to insure, and it will charge a premium based on the level of cover it's providing.

As long as the cover is set out clearly in the terms and conditions of the policy documents, our service wouldn't involve ourselves in these commercial decisions.

So it's not for me to decide what SoL's definition of "unoccupied" should be. It's for me to ensure that the definition and associated terms are clear, fair, and not misleading. And that they've been applied fairly in the circumstances of the claim.

Mr M says he meets the criteria of occupied, stated on our website. But his contract isn't with us. And our website explains that we'll only apply our own interpretation of what unoccupied means if the insurer hasn't provided a clear definition.

But, as I've explained, SoL has provided a clear definition of what it means by unoccupied. It very clearly says that for the building to be occupied, it must be lived in. And Mr M's flat wasn't lived in.

I accept there were other tenants in the building. But the definition refers to the "whole or part of" the property. And Mr M's part – his flat – wasn't occupied as defined by his policy.

I also accept that he visited often and there were people on hand nearby "keeping an eye" on things. But he didn't have someone living in the property and that is the requirement of the contract in place with SoL.

I've considered Mr M's comments about the 30-day period being unfair, as this isn't enough time to sell a property. But his property had been unoccupied since December 2021, so I don't see the relevance of this. Even if the policy gave a longer period of time, it's unlikely to give over 12 months – which is the length of the policy period. I'm mindful that Mr M could've looked for a policy which had a different definition of unoccupied, or he could've taken out a policy specifically for unoccupied properties which would've better insured him for his situation.

I've also considered his argument that the escape of water would've happened regardless of whether the property was lived in or not. And I agree. But the policy doesn't provide insurance cover for escape of water claims if the property isn't lived in. It's fortunate he was there when the leak occurred, but this doesn't mean the property was lived in at the time of the claim.

Whilst I sympathise with Mr M's position and I'm aware of the impact my decision has on him, I can't fairly direct SoL to pay a claim which isn't covered by the policy and for which a premium hasn't been charged. And as the policy terms and definitions are clear, fair, and not misleading, I have no reasonable grounds to apply my own interpretation of their meaning.

My final decision

For the reasons I've explained, I don't uphold Mr M's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr M to accept or reject my decision before 4 July 2024.

Sheryl Sibley
Ombudsman